European Economic Perspectives

Eurozone: Fiscal policy in 2026 – takeaways from budget plans

Economics

Europe Ex. UK

Felix Huefner
Economist
felix.huefner@ubs.com
+49-69-1369 8280

Reinhard Cluse
Economist
reinhard.cluse@ubs.com
+44-20-7568 6722

Franziska Fischer
Economist
franziska.fischer@ubs.com
+41-44-239 2054

Anna Titareva
Economist
anna.titareva@ubs.com
+44-20-7568 5083

2026 annual progress reports provide updated fiscal projections...

Fiscal stimulus in the form of higher defence spending across the EU and higher infrastructure spending in Germany is a key theme for the European macro outlook in the next two years. As usual in April, EU governments have submitted their budget plans to the European Commission, providing an update to 2026 fiscal projections. These plans used to be called *stability programmes* but are now called *annual progress reports* under the reformed EU fiscal framework. In this note, we review and aggregate the individual country plans, which show budget deficit increases in around half of Eurozone countries, including much higher deficits in Germany and Greece, and more mixed developments elsewhere. Croatia has not (yet) published its report and hence we use projections from the latest IMF Fiscal Monitor.

...showing moderate fiscal easing, heavily dependent on Germany

Overall, we draw three key conclusions: (1) The updated budget plans point to moderate fiscal easing in the Eurozone in 2026 of 0.2% of GDP (in cyclically adjusted terms), slightly less than our (and the ECB's) expectation for 0.3% of GDP, but higher than the 0.1% of GDP assumed in the latest IMF Fiscal Monitor. (2) Eurozone fiscal easing is entirely dependent on Germany implementing its large fiscal package. France, Italy and Spain plan to tighten fiscal policy. (3) The budget plans suggest that fiscal support to counter the energy shock remains moderate and has not (yet) led to upward revisions of budget deficit projections (in line with our earlier note: Eurozone: Fiscal response to energy shock – moderate, so far).

Eurozone headline deficit set to rise in 2026...

According to the aggregated annual progress reports, the Eurozone headline budget deficit is set to rise from 2.9% of GDP in 2025 to 3.5% this year (Figure 1), the first increase since 2023. It mainly reflects higher expenditures, with the expenditures/GDP ratio projected to rise by 0.8pp to 50.6% of GDP in 2026, the highest level since 2021 (Figure 2). By contrast, revenues/GDP are expected to rise only 0.3pp to 47.1% of GDP. The increase in the aggregated Eurozone deficit masks significant cross-country divergence (Figure 3): While 11 of the 21 Eurozone countries project rising deficits in 2026, nine countries expect lower deficits and one country (Austria) an unchanged deficit.

...with a large increase in Germany

The largest deficit increases in 2026 are planned in Germany (+1.6pp to 4.3%) and Estonia (+2.3pp to 4.3%). Deficit declines are planned in countries that are in Excessive Deficit Procedures (EDP), including Italy (-0.2pp to 2.9%) and France (-0.1pp to 5%), as well as in Spain (-0.3pp to 2.1%). While we expect Malta to exit the EDP this year (based on a lower deficit in 2025), the decision about Italy is more uncertain, given that its 2025 deficit, at 3.1% of GDP, remained slightly above the 3% mark. Without the increase in the German deficit, the Eurozone deficit would remain unchanged in 2026 at 2.9%. The Eurozone government debt ratio is set to rise from 87.8% of GDP in 2025 to 91.3% in 2026, according to the annual progress reports.

Fiscal easing in 2026 of around 0.2% of GDP from national budgets

Looking at the Eurozone fiscal impulse in 2026, measured by the change in the cyclically adjusted primary balance (CAPB), suggests moderate easing of 0.2% of GDP in 2026, the first time since 2021 (Figure 5). Again, there is a large dispersion: Germany accounts for essentially all of the fiscal easing (contributing 0.5pp to the Eurozone fiscal impulse), but this is partially offset by fiscal tightening in France, Italy and Spain (each deducting 0.1pp from the Eurozone fiscal impulse). Our own projection for the Eurozone fiscal stimulus this year is 0.3% of GDP, partly reflecting our expectation that there will be less discretionary tightening in France, Italy and Spain than assumed in their published budget plans. The overall Eurozone fiscal impulse crucially depends on Germany delivering on its large fiscal package; in fact, if the German CAPB were to remain unchanged, the overall Eurozone fiscal impulse would be slightly contractionary. Hence, closely watching the German budget execution is crucial – we do this regularly with our German fiscal stimulus tracker, which shows a sharp rise in federal spending in Q1, driven by defence spending. How much additional GDP growth will a 0.2% of GDP fiscal impulse generate? Assuming an average fiscal multiplier of 0.9, the budget plans indicate that fiscal policy will lift Eurozone GDP growth by c.20bp in 2026 (we assume 30bp in our forecast).

Disbursements of RRF grants provide additional support in 2026

Disbursements of RRF *grants* from the EU recovery fund do not impact member states' budget balances and hence need to be viewed alongside budget developments. Until Q1 2026, 69% of all disbursements that are scheduled until end-2026 have occurred (Figure 16 and Figure 17). We expect grant disbursements to accelerate slightly from 0.2% of EU GDP in 2025 to 0.3% in 2026, hence adding around 0.1pp of stimulus on top of the 0.2% of GDP spending increase from national budgets. Note that we assume some fiscal support from the RRF in 2027, either because some of the disbursements slip into 2027 (instead of ending in 2026 as per the official plans) or because some of the last scheduled disbursements are paid so late in 2026 that they effectively should be counted as 2027 fiscal support.

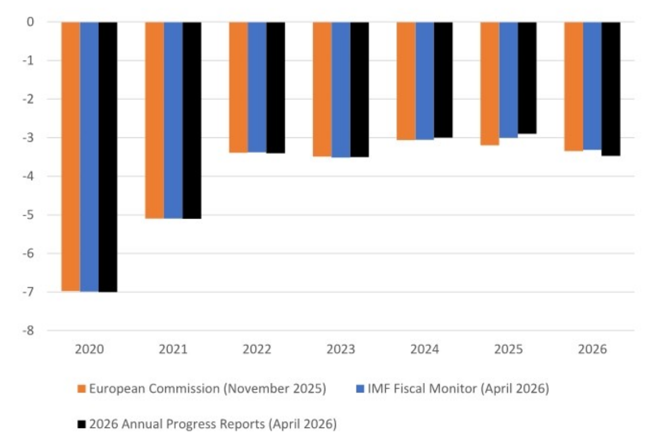
How do the annual progress reports compare to expectations?

The fiscal easing indicated by the annual progress reports (0.2% of GDP in 2026) is slightly higher than the projections in the latest IMF Fiscal Monitor and slightly below the ECB staff projections from March for fiscal easing of 0.3% of GDP in 2026 (for the IMF, this is based solely on the CAPB, while the ECB also takes into account the NGEU RRF). The European Commission projections from November 2025 envisaged an almost neutral fiscal stance, but it will present new forecasts on 21 May. Our own assumption is for fiscal easing of 0.3% of GDP, i.e. higher than the easing of 0.2% that the annual progress reports indicate. While we expect a smaller increase in German fiscal spending this year than the government's budget plan foresees, we expect less tightening in France, Italy and Spain. Using fiscal multipliers of 0.7 for defence and 1 for infrastructure, we project the increased spending to add around 30bp to Eurozone growth, somewhat more than the c.20bp implied by the fiscal easing in the draft budgets.

What to watch?

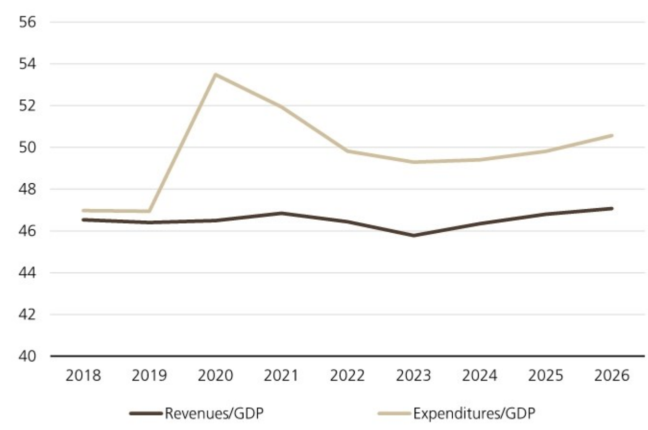
The European Commission forecasts on 21 May and the release of its "Spring Package" in June, which includes country-specific recommendations, including whether countries should enter/exit Excessive Deficit Procedures (EDP).

Figure 1: Eurozone headline budget balance, % of GDP



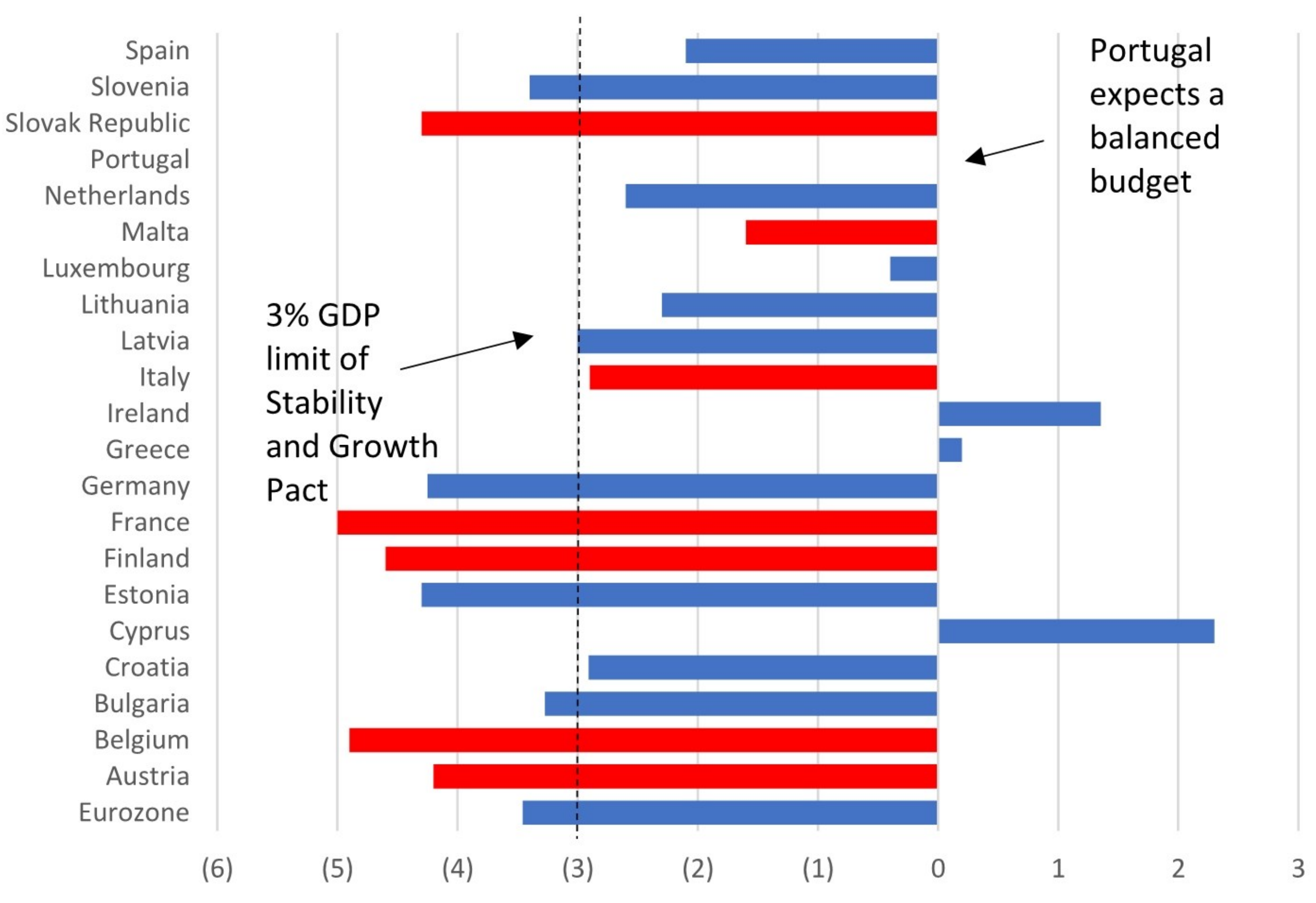
Source: 2026 Annual Progress Reports, Haver, UBS

Figure 2: Eurozone revenues and expenditures, % of GDP



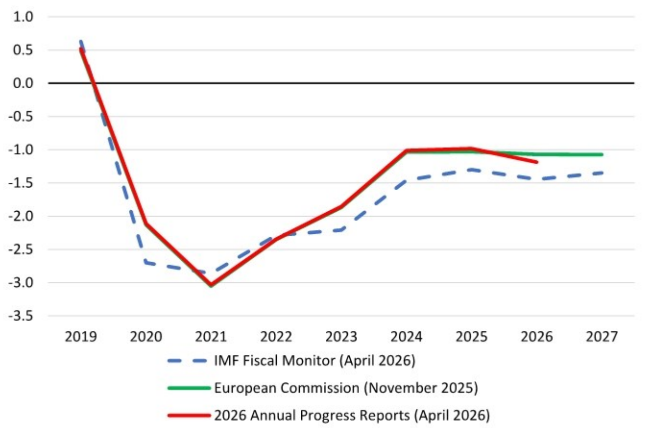
Source: 2026 Annual Progress Reports, Haver, UBS

Figure 3: Headline budget deficits, 2026, % of GDP



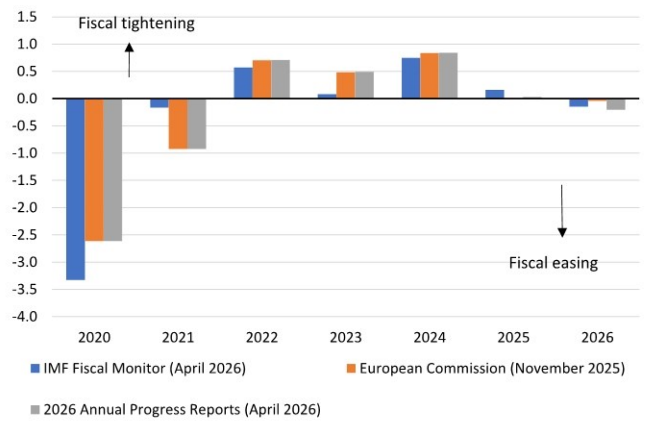
Source: 2026 Annual Progress Reports, Haver, UBS. Note: Countries marked in red are currently in an Excessive Deficit Procedure.

Figure 4: Eurozone, level of cyclically adjusted primary balance, % of GDP



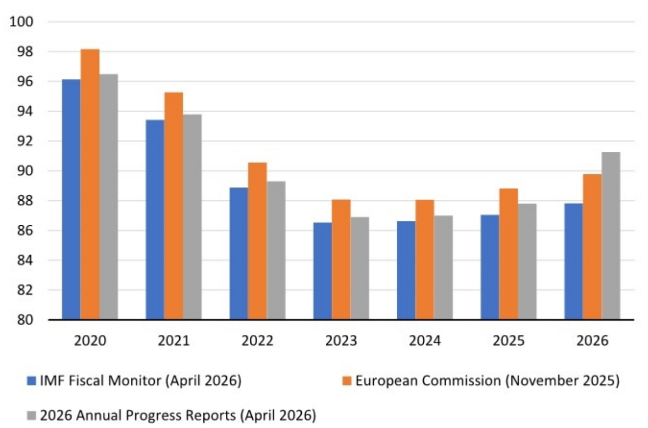
Source: 2026 Annual Progress Reports, Haver, UBS. Note: The differences in the level of CAPB (notably in 2020) between the IMF and the draft budgets/EC reflect differences in the size of the output gap used to calculate the cyclical component. The IMF's estimate for the output gap in 2020 is around 0.7pp smaller than the one used by the EC; a smaller gap implies less cyclical adjustment and hence a larger estimate for discretionary spending with a given headline deficit. See for a broader discussion page 2 in Eurozone: 2021 fiscal boost much larger than thought.

Figure 5: Eurozone, change in cyclically adjusted primary balance, % of GDP



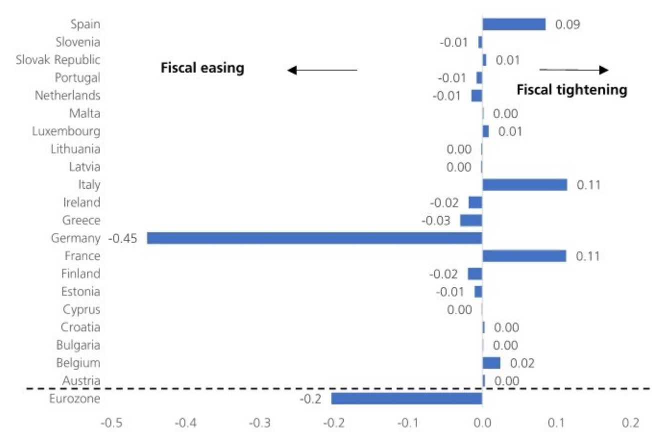
Source: 2026 Annual Progress Reports, Haver, UBS. Note: The differences in the assessment of fiscal stimulus (notably in 2020) between the IMF and the draft budgets/EC reflect differences in the size of the output gap used to calculate the cyclical component. The IMF's estimate for the output gap in 2020 is around 0.7pp smaller than the one used by the EC; a smaller gap implies less cyclical adjustment and hence a larger estimate for discretionary spending with a given headline deficit. See for a broader discussion page 2 in Eurozone: 2021 fiscal boost much larger than thought.

Figure 6: Eurozone government debt, % of GDP



Source: 2026 Annual Progress Reports, Haver, UBS. Note: Government debt has been revised, explaining the level differences.

Figure 7: Contributions to 2026 Eurozone fiscal impulse, % of GDP



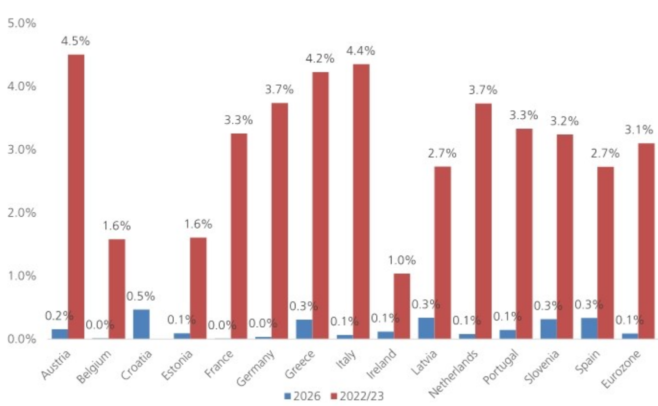
Source: 2026 Annual Progress Reports, Haver, UBS. Note: Chart shows change in CAPB weighted by each country's GDP share in the Eurozone aggregate.

Figure 8: Fiscal measures to counter the energy shock announced in 2026 so far in the Eurozone

	Type of support	Fiscal cost in % of 2026 GDP	Fiscal support during 2022/23, % of GDP
Austria	Cut gasoline and diesel taxes until end-2026, estimated to be worth EUR800m, but will be financed via higher tax revenues.	0.15%	4.5%
Belgium	Support packages for transport sector and business travel using private car, household heating support. Duration May-July 2026.	0.01%	1.6%
Croatia	Temporary cut in fuel excise duty, cap oil and diesel prices, compensation of energy costs (vouchers) for vulnerable citizens and sectoral support for farmers and fishermen.	0.46%	
Estonia	Government cancelled planned increase in energy excise duty.	0.09%	1.6%
France	Fuel subsidies for SMEs in transport, agriculture and fishing sectors plus energy support for low-income households.	0.00%	3.3%
Germany	Cut gasoline and diesel taxes by EUR 0.17 for two months, estimated to be worth EUR1.6bn, but will be financed via higher tax revenues.	0.04%	3.7%
Greece	Subsidise diesel, digital fuel card for households and subsidy on fertilisers for farmers, and a residential rent subsidy.	0.31%	4.2%
Italy	Cutting excise taxes on gasoline and diesel; transfers to lower-income households, support for transport and logistics (tax credit).	0.06%	4.4%
Ireland	Fuel tax cuts, diesel rebate scheme for transport sector, fuel allowance for vulnerable households.	0.12%	1.0%
Latvia	Reduction of excise duty on diesel and green diesel until end-June.	0.34%	2.7%
Netherlands	Subsidies for lower-income households, increased tax allowance for commuters, road-tax cuts for vans/trucks, sectoral aid.	0.08%	3.7%
Portugal	Temporary tax cut for diesel, funded by extra VAT revenues due to energy spike.	0.14%	3.3%
Slovenia	Reduction of excise duty on petrol, diesel and heating oil.	0.31%	3.2%
Spain	Lower VAT on electricity from 21% to 10%; cut in fuel prices by 30¢/litre; discount of 20¢/l for agriculture and transport.	0.33%	2.7%
Eurozone		0.09%	3.1%

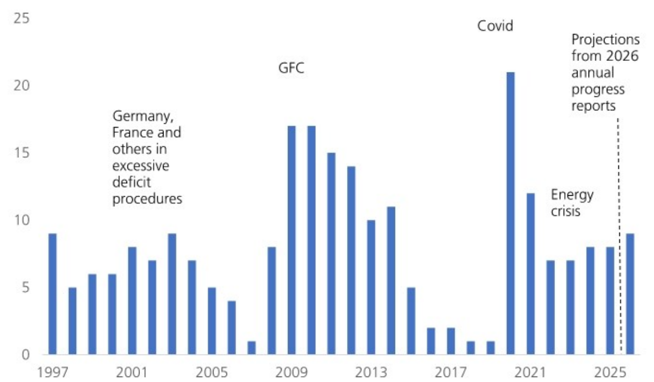
Source: IEA, OECD, Bruegel, UBS. Note: Table presents the gross costs of the measures; in many cases governments assume those to be offset by higher revenues and hence to be broadly budget-neutral. The Eurozone fiscal support for 2022/23 is the sum of 2022 (1.8% of GDP) and 2023 (1.3% of GDP) as reported by the ECB.

Figure 9: National fiscal policy support to counter the energy shock, 2026 vs 2022/23, % of GDP



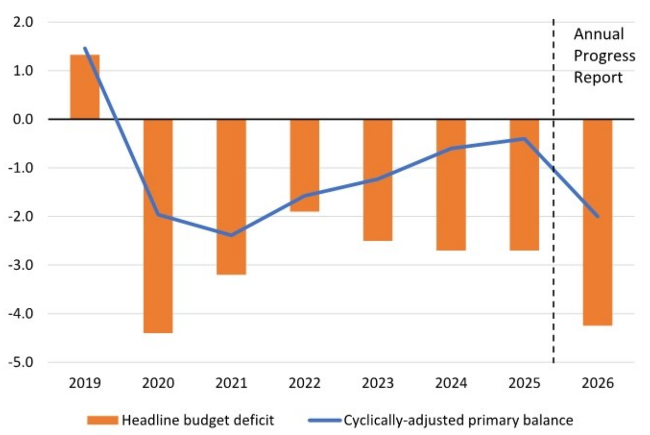
Source: Bruegel, IEA, OECD, UBS estimates. Note: For 2022/23, chart shows government funding earmarked and allocated to shield households and firms from the energy crisis from September 2021 to January 2023.

Figure 10: Number of Eurozone countries with budget deficits above 3% of GDP



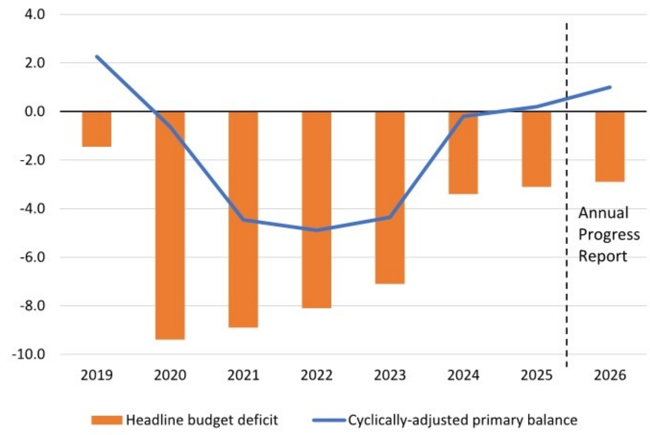
Source: 2026 Annual Progress Reports, Haver, UBS

Figure 11: Germany budget deficit and CAPB, % of GDP



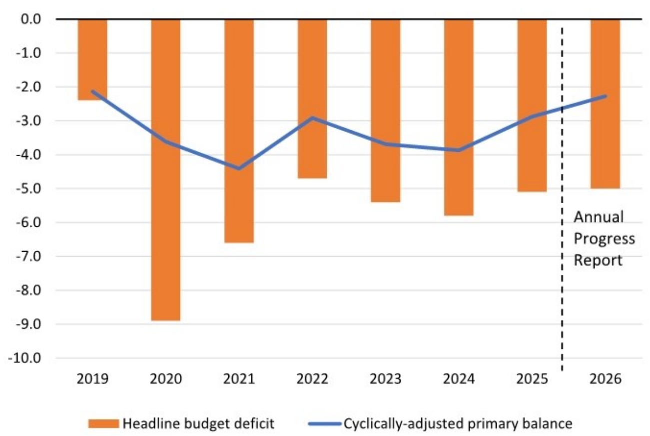
Source: 2026 Annual Progress Reports, Haver, UBS

Figure 12: Italy budget deficit and CAPB, % of GDP



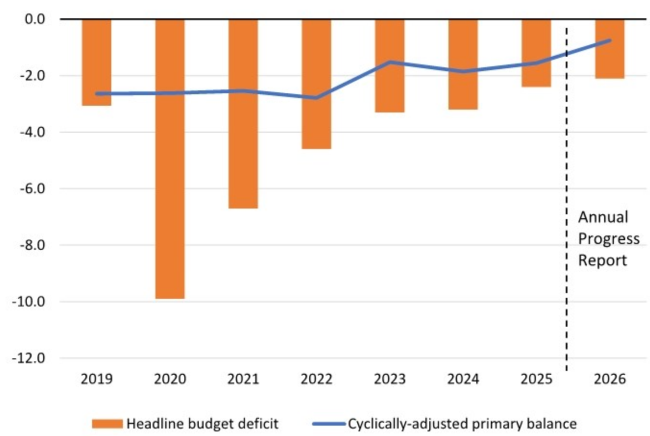
Source: 2026 Annual Progress Reports, Haver, UBS

Figure 13: France budget deficit and CAPB, % of GDP



Source: 2026 Annual Progress Reports, Haver, UBS

Figure 14: Spain budget deficit and CAPB, % of GDP



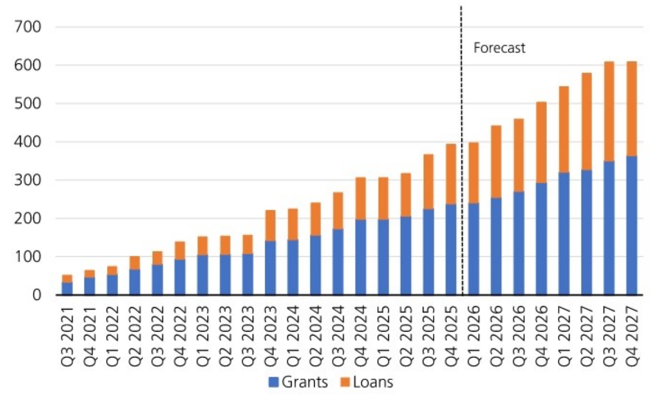
Source: 2026 Annual Progress Reports, Haver, UBS

Figure 15: Key fiscal variables in governments' 2026 annual progress reports

	Headline budget balance, % of GDP			Fiscal stimulus (change in cyclically-adjusted primary balance), % of GDP [positive value=fiscal tightening]			Government debt, % of GDP		
	2024	2025	2026	2024	2025	2026	2024	2025	2026
Euro Area	-3.0	-2.9	-3.5	0.8	0.0	-0.2	87.0	87.8	90.9
Austria	-4.6	-4.2	-4.2	-1.1	0.8	0.1	80.0	81.5	83.4
Belgium	-4.4	-5.2	-4.9	0.4	-0.7	0.6	103.9	107.9	110.3
Bulgaria	-3.0	-3.5	-3.3	-0.9	-0.3	0.2	23.8	29.9	28.2
Croatia	-2.3	-3.0	-2.9	-0.8	-1.4	0.5	57.4	56.3	56.5
Cyprus	4.1	3.4	2.3	2.7	-0.8	-0.4	62.7	55.3	50.1
Estonia	-1.1	-2.0	-4.3	1.2	-0.9	-4.0	23.5	24.1	26.7
Finland	-4.4	-3.4	-4.6	-0.9	1.1	-1.1	82.4	88.5	91.2
France	-5.8	-5.1	-5.0	-0.2	1.0	0.6	112.6	115.6	118.4
Germany	-2.7	-2.7	-4.3	0.6	0.2	-1.6	62.2	63.5	66.5
Greece	1.3	1.7	0.2	2.5	-0.2	-1.9	154.2	146.1	136.8
Ireland	4.1	1.8	1.4	6.5	-6.9	-0.5	38.3	32.9	31.2
Italy	-3.4	-3.1	-2.9	4.2	0.4	0.8	134.7	137.1	138.6
Latvia	-1.8	-2.5	-3.0	1.4	-0.7	-0.7	46.2	46.9	47.9
Lithuania	-1.3	-1.8	-2.3	-0.6	-0.6	-0.3	38.0	39.5	44.9
Luxembourg	0.9	-2.0	-0.4	1.9	-2.8	1.5	26.3	26.5	27.1
Malta	-3.4	-2.2	-1.6	0.7	2.1	0.9	45.9	46.4	45.8
Netherlands	-0.7	-1.6	-2.6	-0.1	-0.8	-0.2	43.8	44.4	45.6
Portugal	0.6	0.7	0.0	-0.3	0.3	-0.4	93.5	89.7	87.5
Slovak Republic	-5.3	-4.5	-4.3	0.2	1.6	0.6	59.7	61.4	63.3
Slovenia	-0.9	-2.5	-3.4	2.0	-0.9	-1.2	66.4	65.7	65.2
Spain	-3.2	-2.4	-2.1	-0.3	0.3	0.8	101.6	100.7	99.3

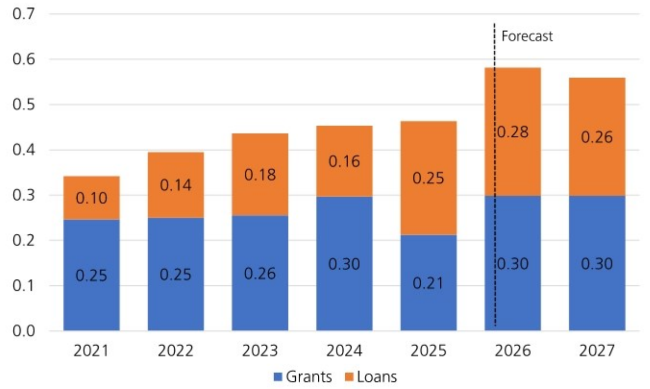
Source: 2026 Annual Progress Reports, Haver, UBS. Note: Croatia has not (yet) published 2026 draft budgets and table hence shows projections from the latest IMF Fiscal Monitor.

Figure 16: NGEU – RRF disbursements, EUR bn



Source: EC, NGEU country pages, UBS estimates

Figure 17: NGEU – RRF disbursements, % of 2025 GDP



Source: EC, NGEU country pages, UBS estimates

Valuation Method and Risk Statement

Risks include macroeconomic variables (such as GDP growth rates and inflation), economic slowdown, a weakening currency, global economic events, and government policy changes.

Required Disclosures

This document has been prepared by UBS Europe SE, an affiliate of UBS AG. UBS AG, its subsidiaries, branches and affiliates, including former Credit Suisse AG and its subsidiaries, branches and affiliates are referred to herein as "UBS".

For information on the ways in which UBS manages conflicts and maintains independence of its UBS Global Research product; historical performance information; certain additional disclosures concerning UBS Global Research recommendations; and terms and conditions for certain third party data used in research report, please visit https://www.ubs.com/disclosures. Unless otherwise indicated, information and data in this report are based on company disclosures including but not limited to annual, interim, quarterly reports and other company announcements. The figures contained in performance charts refer to the past; past performance is not a reliable indicator of future results. Additional information will be made available upon request. UBS Securities Co. Limited is licensed to conduct securities investment consultancy businesses by the China Securities Regulatory Commission. UBS acts or may act as principal in the debt securities (or in related derivatives) that may be the subject of this report. This recommendation was finalized on: 15 May 2026 05:05 PM GMT. UBS has designated certain UBS Global Research department members as Derivatives Research Analysts where those department members publish research principally on the analysis of the price or market for a derivative, and provide information reasonably sufficient upon which to base a decision to enter into a derivatives transaction. Where Derivatives Research Analysts co-author research reports with Equity Research Analysts or Economists, the Derivatives Research Analyst is responsible for the derivatives investment views, forecasts, and/or recommendations. **Quantitative Research Review:** UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For the latest responses, please see the Quantitative Research Review Addendum at the back of this report, where applicable. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research team on the email above.

Analyst Certification:
Each research analyst primarily responsible for the content of this research report, in whole or in part, certifies that with respect to each security or issuer that the analyst covered in this report: (1) all of the views expressed accurately reflect his or her personal views about those securities or issuers and were prepared in an independent manner, including with respect to UBS, and (2) no part of his or her compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in the research report.

Research analysts contributing to this report who are employed by any non-US affiliate of UBS Securities LLC are not registered/qualified as research analysts with FINRA. Such analysts may not be associated persons of UBS Securities LLC and therefore are not subject to the FINRA restrictions on communications with a subject company, public appearances, and trading securities held by a research analyst account. The name of each affiliate and analyst employed by that affiliate contributing to this report, if any, follows.

UBS AG: Franziska Fischer.**UBS AG London Branch:** Anna Titareva, Reinhard Cluse.**UBS Europe SE:** Felix Huefner.

Unless otherwise indicated, please refer to the Valuation and Risk sections within the body of this report. For a complete set of disclosure statements associated with the companies discussed in this report, including information on valuation and risk, please contact UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research.

UBS Global Research Disclaimer

This document has been prepared by UBS Europe SE, an affiliate of UBS AG. UBS AG, its subsidiaries, branches and affiliates, including former Credit Suisse AG and its subsidiaries, branches and affiliates are referred to herein as "UBS".

Any opinions expressed in this document may change without notice and are only current as of the date of publication. Different areas, groups, and personnel within UBS may produce and distribute separate research products independently of each other. For example, research publications from **UBS CIO** are produced by UBS Global Wealth Management. **UBS Global Research** is produced by UBS Investment Bank. Research methodologies and rating systems of each separate research organization may differ, for example, in terms of investment recommendations, investment horizon, model assumptions, and valuation methods. As a consequence, except for certain economic forecasts (for which UBS CIO and UBS Global Research may collaborate), investment recommendations, ratings, price targets, and valuations provided by each of the separate research organizations may be different, or inconsistent. You should refer to each relevant research product for the details as to their methodologies and rating system. Not all clients may have access to all products from every organization. Each research product is subject to the policies and procedures of the organization that produces it.

This document is provided solely to recipients who are expressly authorized by UBS to receive it. If you are not so authorized you must immediately destroy the document.

UBS Global Research is provided to our clients through UBS Neo, and in certain instances, UBS.com and any other system or distribution method specifically identified in one or more communications distributed through UBS Neo or UBS.com (each a system) as an approved means for distributing UBS Global Research. It may also be made available through third party vendors and distributed by UBS and/or third parties via e-mail or alternative electronic means.

All UBS Global Research is available on UBS Neo. Please contact your UBS sales representative if you wish to discuss your access to UBS Neo. Where UBS Global Research refers to "UBS Evidence Lab Inside" or has made use of data provided by UBS Evidence Lab and you would like to access that data please contact your UBS sales representative. UBS Evidence Lab data is available on UBS Neo. The level and types of services provided by UBS Global Research and UBS Evidence Lab to a client may vary depending upon various factors such as a client's individual preferences as to the frequency and manner of receiving communications, a client's risk profile and investment focus and perspective (e.g., market wide, sector specific, long-term, short-term, etc.), the size and scope of the overall client relationship with UBS Global Research and UBS Evidence Lab and legal and regulatory constraints. UBS HOLT and UBS Pharma Values are offerings of UBS Global Research. HOLT Lens is a corporate performance platform offering that provides an objective accounting-led framework for comparing and valuing companies and is available to clients of UBS Global Research; for further details and pricing please contact your UBS Sales representative. In particular, HOLT has a variety of warranted prices based on the scenario chosen; please mail UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research, if you are interested in the warranted price on a particular company, again subject to commercial considerations. UBS Pharma Values is an analytical tool that involves the creation of a number of individual product net present value calculations, based on published forecasts of sales for pharmaceuticals, and is available to clients of UBS Global Research; for further details and pricing please contact your UBS Sales representative. For all other specific disclaimers, please see https://www.ubs.com/disclosures.

When you receive UBS Global Research through a system, your access and/or use of such UBS Global Research is subject to this UBS Global Research Disclaimer and to the UBS Neo Platform Use Agreement (the "Neo Terms") together with any other relevant terms of use governing the applicable System.

When you receive UBS Global Research via a third party vendor, e-mail or other electronic means, you agree that use shall be subject to this UBS Global Research Disclaimer, the Neo Terms and where applicable the UBS Investment Bank terms of business (https://www.ubs.com/global/en/investment-bank/regulatory.html) and to UBS's Terms of Use/Disclaimer (https://www.ubs.com/global/en/legalinfo2/disclaimer.html). In addition, you consent to UBS processing your personal data and using cookies in accordance with our Privacy Statement (https://www.ubs.com/global/en/legalinfo2/privacy.html) and cookie notice (https://www.ubs.com/global/en/legal/privacy/users.html).

If you receive UBS Global Research, whether through a System or by any other means, you agree that you shall not copy, revise, amend, create a derivative work, provide to any third party, or in any way commercially exploit any UBS research provided via UBS Global Research or otherwise, and that you shall not extract data from any research or estimates provided to you via UBS Global Research or otherwise, without the prior written consent of UBS. You agree not to use UBS Global Research in any artificial intelligence system, without the prior written consent of UBS.

In certain circumstances you may receive UBS Global Research otherwise than in the capacity of a client of UBS and you understand and agree that under these circumstances (i) the UBS Global Research is provided to you for information purposes only; (ii) for the purposes of receiving it you are not intended to be and will not be treated as a "client" of UBS for any legal or regulatory purpose; (iii) the UBS Global Research must not be relied on or acted upon for any purpose; and (iv) such content is subject to the relevant disclaimers that follow.

This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject UBS to any registration or licensing requirement within such jurisdiction.

This document is a general communication and is educational in nature; it is not an advertisement nor is it a solicitation or an offer to buy or sell any financial instruments or to participate in any particular trading strategy. Nothing in this document constitutes a representation that any investment strategy or recommendation is suitable or appropriate to an investor's individual circumstances or otherwise constitutes a personal recommendation. By providing this document, none of UBS or its representatives has any responsibility or authority to provide or have provided investment advice in a fiduciary capacity or otherwise. Investments involve risks, and investors should exercise prudence and their own judgment in making their investment decisions. None of UBS or its representatives is suggesting that the recipient or any other person take a specific course of action or any action at all. The recipient should carefully read this document in its entirety and not draw inferences or conclusions from the rating alone. By receiving this document, the recipient acknowledges and agrees with the intended purpose described above and further disclaims any expectation or belief that the information constitutes investment advice to the recipient or otherwise purports to meet the investment objectives of the recipient. The financial instruments described in the document may not be eligible for sale in all jurisdictions or to certain categories of investors.

Options, structured derivative products and futures (including OTC derivatives) are not suitable for all investors. Trading in these instruments is considered risky and may be appropriate only for sophisticated investors. Prior to buying or selling an option, and for the complete risks relating to options, you must receive a copy of "The Characteristics and Risks of Standardized Options." You may read the document at https://www.theocc.com/publications/risks/riskchap1.jsp or ask your salesperson for a copy. Various theoretical explanations of the risks associated with these instruments have been published. Supporting documentation for any claims, comparisons, recommendations, statistics or other technical data will be supplied upon request. Past performance is not necessarily indicative of future results. Transaction costs may be significant in option strategies calling for multiple purchases and sales of options, such as spreads and straddles. Because of the importance of tax considerations to many options transactions, the investor considering options should consult with his/her tax advisor as to how taxes affect the outcome of contemplated options transactions.

Mortgage and asset-backed securities may involve a high degree of risk and may be highly volatile in response to fluctuations in interest rates or other market conditions. Foreign currency rates of exchange may adversely affect the value, price or income of any security or related instrument referred to in the document. For investment advice, trade execution or other enquiries, clients should contact their local sales representative.

UBS notes that no globally accepted framework or definition (legal, regulatory or otherwise) currently exists, nor is there a market consensus as to what constitutes an "ESG" (Environmental, Social or Governance) or an equivalent-label, or as to what precise attributes are required for the Information (as defined below) to be defined as ESG or equivalently-labelled. Any information, data or other content including from a third party source contained, referred to herein or used for whatsoever purpose by UBS or a third party ("Information"), in relation to any actual or potential ESG objective, issue or consideration is not intended to be relied upon for ESG classification, regulatory regime or industry initiative purposes ("ESG Regimes"). Nothing in these materials is intended to convey, suggest or indicate that UBS considers or represents any product, service, person or body mentioned in these materials as meeting or qualifying for any ESG classification, labelling or similar standards that may exist under the ESG Regimes. UBS has not conducted any assessment of compliance with ESG Regimes. Parties are reminded to make their own assessments for these purposes.

The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Past performance is not necessarily a guide to future performance. Neither UBS nor any of its directors, employees or agents accepts any liability for any loss (including investment loss) or damage arising out of the use of all or any of the Information.

Prior to making any investment or financial decisions, any recipient of this document or the information should take steps to understand the risk and return of the investment and seek individualized advice from his or her personal financial, legal, tax and other professional advisors that takes into account all the particular facts and circumstances of his or her investment objectives.

Any prices stated in this document are for information purposes only and do not represent valuations for individual securities or other financial instruments. There is no representation that any transaction can or could have been effected at those prices, and any prices do not necessarily reflect UBS's internal books and records or theoretical model-based valuations and may be based on certain assumptions. Different assumptions by UBS or any other source may yield substantially different results.

No representation or warranty, either expressed or implied, is provided in relation to the accuracy, completeness or reliability of the information contained in any materials to which this document relates (the "Information"), except with respect to Information concerning UBS. The Information is not intended to be a complete statement or summary of the securities, markets or developments referred to in the document. UBS does not undertake to update or keep current the

Information. Any statements contained in this report attributed to a third party represent UBS's interpretation of the data, information and/or opinions provided by that third party either publicly or through a subscription service, and such use and interpretation have not been reviewed by the third party. In no circumstances may this document or any of the Information (including any forecast, value, index or other calculated amount ("Values")) be used for any of the following purposes:

(i) valuation or accounting purposes;

(ii) to determine the amounts due or payable, the price or the value of any financial instrument or financial contract; or

(iii) to measure the performance of any financial instrument including, without limitation, for the purpose of tracking the return or performance of any Value or of defining the asset allocation of portfolio or of computing performance fees.

By receiving this document and the Information you will be deemed to represent and warrant to UBS that you will not use this document or any of the Information for any of the above purposes or otherwise rely upon this document or any of the Information.

UBS has policies and procedures, which include, without limitation, independence policies and permanent information barriers, that are intended, and upon which UBS relies, to manage potential conflicts of interest and control the flow of information within divisions of UBS and among its subsidiaries, branches and affiliates. UBS does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. For further information on the ways in which UBS Global Research manages conflicts and maintains independence of its research products, historical performance information and certain additional disclosures concerning UBS Global Research recommendations, please visit https://www.ubs.com/disclosures.

UBS Global Research will initiate, update and cease coverage solely at the discretion of UBS Global Research Management, which will also have sole discretion on the timing and frequency of any published research product. The analysis contained in this document is based on numerous assumptions. All material information in relation to published research reports, such as valuation methodology, risk statements, underlying assumptions (including sensitivity analysis of those assumptions), ratings history etc. as required by the Market Abuse Regulation, can be found on UBS Neo. Different assumptions could result in materially different results.

UBS Global Research may utilise artificial intelligence tools ("AI Tools") in the preparation of this document. Notwithstanding any such use of AI Tools, this document has undergone human review.

The analyst(s) responsible for the preparation of this document may interact with trading desk personnel, sales personnel and other parties for the purpose of gathering, applying and interpreting market information. UBS relies on information barriers to control the flow of information contained in one or more areas within UBS into other areas, units, groups or affiliates of UBS. The compensation of the analyst who prepared this document is determined exclusively by UBS Global Research management and senior management (not including investment banking). Analyst compensation is not based on investment banking revenues; however, compensation may relate to the revenues of UBS and/or its divisions as a whole, of which investment banking, sales and trading are a part, and UBS as a whole.

For financial instruments admitted to trading on an EU regulated market: UBS (excluding UBS Securities LLC) acts as a market maker or liquidity provider (in accordance with the interpretation of these terms under English law or, if not carried out by UBS in the UK the law of the relevant jurisdiction in which UBS determines it carries out the activity) in the financial instruments of the issuer save that where the activity of liquidity provider is carried out in accordance with the definition given to it by the laws and regulations of any other EU jurisdictions, such information is separately disclosed in this document. For financial instruments admitted to trading on a non-EU regulated market: UBS may act as a market maker save that where this activity is carried out in the US in accordance with the definition given to it by the relevant laws and regulations, such activity will be specifically disclosed in this document. UBS may have issued a warrant the value of which is based on one or more of the financial instruments referred to in the document. UBS and its affiliates and employees may have long or short positions, trade as principal and buy and sell in instruments or derivatives identified herein; such transactions or positions may be inconsistent with the opinions expressed in this document.

Within the past 12 months UBS may have received or provided investment services and activities or ancillary services as per MiFID II which may have given rise to a payment or promise of a payment in relation to these services from or to this company.

Please note that all transactions conducted by UBS are consistent with sanctions regulations imposed by Switzerland, the European Union, the United Nations, the United Kingdom and the United States, per UBS' global sanctions policy. UBS opinion as to future investment worthiness assumes no new sanctions are imposed.

US persons are prohibited from purchasing or selling securities of certain companies designated as being associated with the Chinese Military in accordance with the amended US Presidential Executive Order 13959.

United Kingdom: This material is distributed by UBS AG, London Branch to persons who are eligible counterparties or professional clients. UBS AG, London Branch is authorised by the Prudential Regulation Authority and subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. **Europe:** Except as otherwise specified herein, these materials are distributed by UBS Europe SE, a subsidiary of UBS AG, to persons who are eligible counterparties or professional clients (as detailed in the Bundesanstalt fur Finanzdienstleistungsaufsicht (BaFin) Rules and according to MIFID) and are only available to such persons. The information does not apply to, and should not be relied upon by, retail clients. UBS Europe SE is authorised by the European Central Bank (ECB) and regulated by the BaFin and the ECB. **Germany, Luxembourg, the Netherlands, Belgium and Ireland:** Where an analyst of UBS Europe SE has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE. In all cases it is distributed by UBS Europe SE and UBS AG, London Branch. **Turkey:** Distributed by UBS AG, London Branch. No information in this document is provided for the purpose of offering, marketing and sale by any means of any capital market instruments and services in the Republic of Turkey. Therefore, this document may not be considered as an offer made or to be made to residents of the Republic of Turkey. UBS AG, London Branch is not licensed by the Turkish Capital Market Board under the provisions of the Capital Market Law (Law No. 6362). Accordingly, neither this document nor any other offering material related to the instruments/services may be utilized in connection with providing any capital market services to persons within the Republic of Turkey without the prior approval of the Capital Market Board. However, according to article 15 (d) (ii) of the Decree No. 32, there is no restriction on the purchase or sale of the securities abroad by residents of the Republic of Turkey. **Poland:** Distributed by UBS Europe SE (spolka z ograniczona odpowiedzialnoscia) Oddzial w Polsce. Where an analyst of UBS Europe SE (spolka z ograniczona odpowiedzialnoscia) Oddzial w Polsce has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE (spolka z ograniczona odpowiedzialnoscia) Oddzial w Polsce. **Russia:** Prepared and distributed by UBS Bank (OOO). Should not be construed as an individual Investment Recommendation for the purpose of the Russian Law - Federal Law #39-FZ ON THE SECURITIES MARKET Articles 6.1-6.2.**Switzerland:** Distributed by UBS AG to persons who are institutional investors only. UBS AG is regulated by the Swiss Financial Market Supervisory Authority (FINMA). **Italy:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Italy Branch. Where an analyst of UBS Europe SE, Italy Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, Italy Branch. **France:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, France Branch. Where an analyst of UBS Europe SE, France Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, France Branch. **Spain:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Spain Branch. Where an analyst of UBS Europe SE, Spain Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, Spain Branch. **Sweden:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Sweden Branch. Where an analyst of UBS Europe SE, Sweden Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, Sweden Branch. **South Africa:** Distributed by UBS South Africa (Pty) Limited (Registration No. 1995/011140/07), an authorised user of the JSE and an authorised Financial Services Provider (FSP 7328). **Saudi Arabia:** This document has been issued by UBS AG (and/or any of its subsidiaries, branches or affiliates), a public company limited by shares, incorporated in Switzerland with its registered offices at Aeschenvorstadt 1, CH-4051 Basel and Bahnhofstrasse 45, CH-8001 Zurich. This publication has been approved by UBS Saudi Arabia (a subsidiary of UBS AG), a Saudi closed joint stock company incorporated in the Kingdom of Saudi Arabia under commercial register number 1010257812 having its registered office at Tatweer Towers, P.O. Box 75724, Riyadh 11588, Kingdom of Saudi Arabia. UBS Saudi Arabia is authorized and regulated by the Capital Market Authority to conduct securities business under license number 08113-37. **UAE / Dubai:** The information distributed by UBS AG Dubai Branch is only intended for Professional Clients and/or Market Counterparties, as classified under the DFSA rulebook. No other person should act upon this material/communication. The information is not for further distribution within the United Arab Emirates. UBS AG Dubai Branch is regulated by the DFSA in the DIFC. UBS is not licensed to provide banking services in the UAE by the Central Bank of the UAE, nor is it licensed by the UAE Securities and Commodities Authority. **Israel:** This Material is distributed by UBS AG, London Branch. UBS Securities Israel Ltd is a licensed Investment Marketer that is supervised by the Israel Securities Authority (ISA). UBS AG, London Branch and its affiliates incorporated outside Israel are not licensed under the Israeli Advisory Law. UBS may engage among others in issuance of Financial Assets or in distribution of Financial Assets of other issuers for fees or other benefits. UBS AG, London Branch and its affiliates may prefer various Financial Assets to which they have or may have an Affiliation (as such term is defined under the Israeli Advisory Law). Nothing in this Material should be considered as investment advice under the Israeli Advisory Law. This Material is being issued only to and/or is directed only at persons who are Eligible Clients within the meaning of the Israeli Advisory Law, and this Material must not be furnished to, relied on or acted upon by any other persons. **United States:** Distributed to US persons by either UBS Securities LLC or by UBS Financial Services Inc., subsidiaries of UBS AG; or by a group, subsidiary or affiliate of UBS AG that is not registered as a US broker-dealer (a **'non-US affiliate'**) to major US institutional investors only. UBS Securities LLC or UBS Financial Services Inc. accepts responsibility for the content of a report prepared by another non-US affiliate when distributed to US persons by UBS Securities LLC or UBS Financial Services Inc. All transactions by a US person in the securities mentioned in this report must be effected through UBS Securities LLC or UBS Financial Services Inc., and not through a non-US affiliate. UBS Securities LLC is not acting as a municipal advisor to any municipal entity or obligated person within the meaning of Section 15B of the Securities Exchange Act (the "Municipal Advisor Rule"), and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of the Municipal Advisor Rule. **Canada:** Distributed by UBS Securities Canada Inc., a registered investment dealer in Canada and a Member-Canadian Investor Protection Fund, or by another affiliate of UBS AG that is registered to conduct business in Canada or is otherwise exempt from

UBS